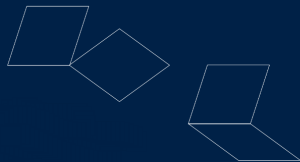


Know Thyself: Free Credit Reports and the Retail Mortgage Market A Discussion

Vimal Balasubramaniam

Emerging Markets Finance Conference

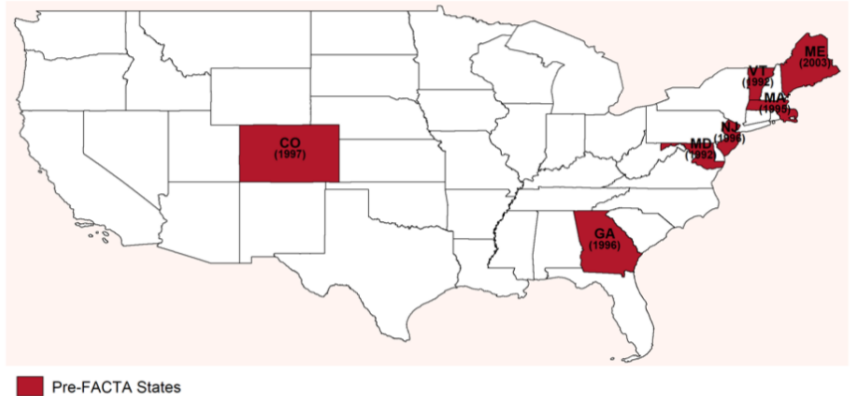
16 December 2020



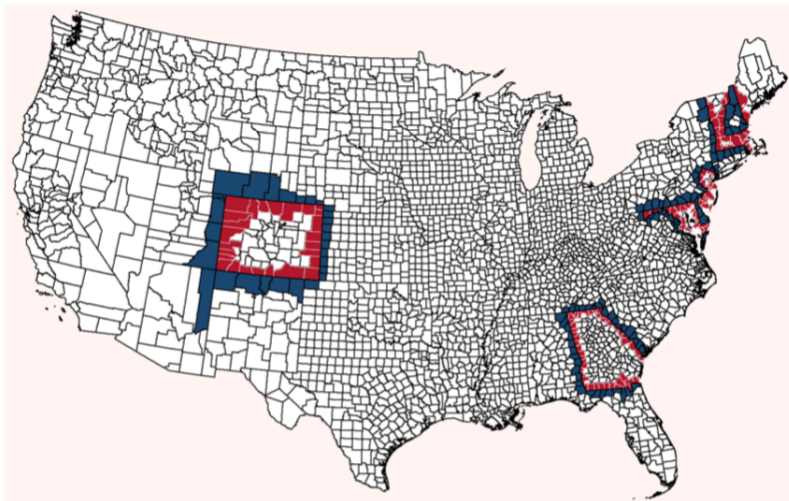
Overview

- ▶ 1 in 5 mortgage applications were rejected (2000-2008).
- ▶ Credit history forms a bulk of this rejection.
- ▶ What happens if consumers can access credit history *before* making decisions?
- ▶ Implications for households.
- ▶ Implications for mortgage market (more informed consumers).
- ▶ This paper: Uses variation from a law introduced in 2006 United States to shed light on all of the implications of access to credit report.
- ▶ An open question, market-wide and detailed data.
- ▶ Careful and thorough work (66 pages already!).

Design



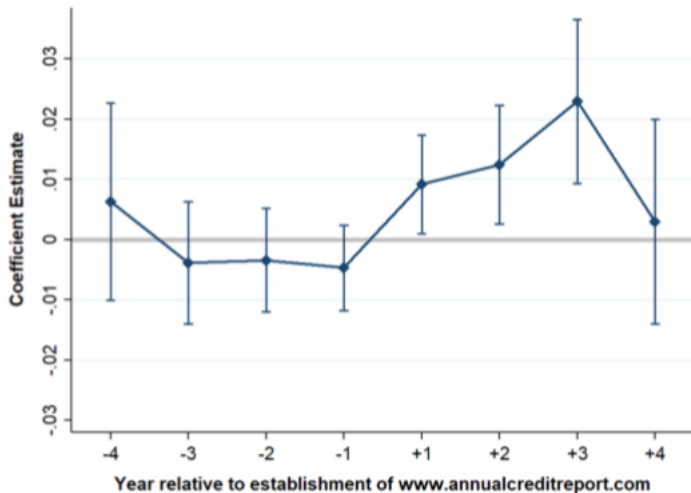
Design



Control: Counties at the border of pre-FACTA States

Treatment: Counties which belong to the bordering states and are adjacent to the control counties

Result: Approval Ratio



Comment 1: What do we learn?

- ▶ Cheaper credit reports improves credit market outcomes.
- ▶ Individual consumers are better off:
 - ▶ Able to withdraw applications without having a record on the credit history.
 - ▶ Apply when you do have a good credit history and didn't know about it.
 - ▶ Perhaps also work to improve their credit history over a longer horizon? (Yet to be tested...)
- ▶ Markets are also better off:
 - ▶ Information improves the quality of loan pool (lower delinquency).
 - ▶ Firms have fewer applications that they need to reject (Assuming that there is no moral hazard?)
- ▶ May be better to organize results into different bins like this.

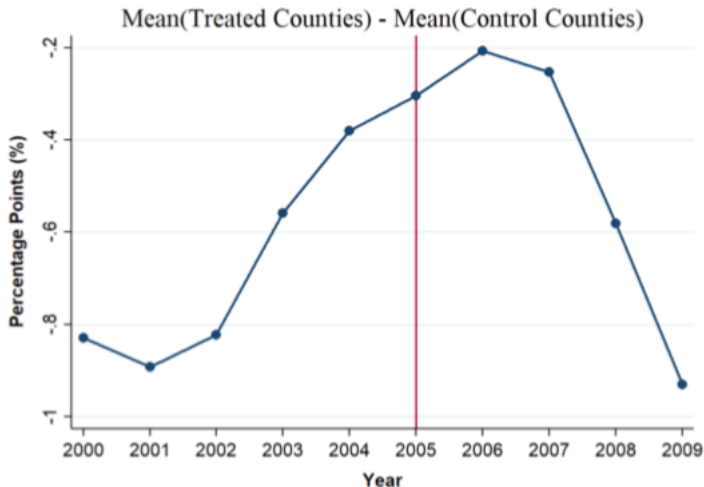
Comment 2: The Control Group

- ▶ The control group comprises of counties that *already* had access to this information.
- ▶ Does an increase in approval ratio, for instance, mean:
 1. The “free report” in the control tracts was not that effective?
 2. The equilibrium approval ratio for mortgages in the treated counties under full information provision is different from the control tracts?
- ▶ Assumption: All changes observed are demand side changes in the treated counties.
- ▶ Traditional diff-in-diffs play identify off the control group *not* having the treatment. Here, the control group got the treatment much before the rest.
- ▶ This makes interpretation of the coefficients a bit harder.

Comment 3: Interpreting findings

- ▶ To be able to use these findings, we need some anchor on what the equilibrium demand under full information provision is likely to be.
- ▶ The role of the control group is helpful in other cases, but not in this one as it remains a puzzle as to why there might be a treatment effect.
- ▶ There is a need to discipline the empirical approach with mechanisms (or theory).
- ▶ Example: The subprime population estimates.

Sub-prime population



Comment 4: Research design

- ▶ We need to learn more about what the impact of the first wave of free credit information was!
- ▶ Take those states (CO, GA, MD, NJ, VT and ME).
- ▶ Use the exact same design, but ask what happened to providing information when the *control group* did not receive the treatment in neighbouring counties.
- ▶ This will give you a range for the equilibrium demand under full information provision (upper bound with your current design, and lower bound with this proposed one).
- ▶ Without understanding more about what happened because of the earlier credit report provision in these states, it gets harder to interpret the results.

In summary

- ▶ An important question. Public goods provision.
- ▶ A great dataset to use to answer the question.
- ▶ Very interesting results.
- ▶ Urge to:
 1. Reconsider the control group and its implication carefully
 2. Explain what “self-learning mechanism” or why information provision increases approval ratios even higher than the formerly treated group.